# QUARTERLY INVESTOR REPORT

Ironwood Marketplace | Boston, MA

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|---|---|
| **Investment** | Ironwood Marketplace |
| **Quarter** | 2Q 2024 |
| **Report Date** | April 2, 2021 |
| **Sponsor** | Granite Lane Realty |
| **Occupancy** | 96.2% |

## Risk Considerations

Average rent is $27 per square foot with parking at a ratio of 40 spaces per 1,000 square feet. Projected levered IRR is 9.1% with an equity multiple of 1.11x over the hold period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Average rent is $27 per square foot with parking at a ratio of 24 spaces per 1,000 square feet. Projected levered IRR is 7.2% with an equity multiple of 1.44x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

## Property Operations

Average rent is $27 per square foot with parking at a ratio of 24 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The manager completes a monthly walk of the property and submits a variance report to the owner by the 22th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 12 additional team members. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Service requests are tracked through a work-order system with an average completion time of 14 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 9 additional team members. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

## Investor Distributions

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Projected levered IRR is 7.2% with an equity multiple of 1.20x over the hold period.

Distributions to investors for the quarter were paid at an annualized rate of 4.5% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

## Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 11 additional team members. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 36th business day.

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## Business Plan Progress

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Average rent is $27 per square foot with parking at a ratio of 43 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 6.3% on contributed capital. Projected levered IRR is 2.2% with an equity multiple of 1.13x over the hold period. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns.

## Leasing and Marketing

The manager completes a monthly walk of the property and submits a variance report to the owner by the 10th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 9 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 95.8% of billed charges, with bad debt of 4.0% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 3 hours.

Collections for the period were 94.7% of billed charges, with bad debt of 7.8% of gross potential income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $27 per square foot with parking at a ratio of 46 spaces per 1,000 square feet. Service requests are tracked through a work-order system with an average completion time of 9 hours. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The manager completes a monthly walk of the property and submits a variance report to the owner by the 24th business day.

## Risk Considerations

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Distributions to investors for the quarter were paid at an annualized rate of 3.6% on contributed capital. Average rent is $27 per square foot with parking at a ratio of 26 spaces per 1,000 square feet. Projected levered IRR is 12.0% with an equity multiple of 1.22x over the hold period.

Projected levered IRR is 3.5% with an equity multiple of 1.42x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Average rent is $27 per square foot with parking at a ratio of 28 spaces per 1,000 square feet.

## Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 23 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 46 additional team members. Collections for the period were 93.0% of billed charges, with bad debt of 7.4% of gross potential income. Average rent is $27 per square foot with parking at a ratio of 44 spaces per 1,000 square feet.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 38 additional team members. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The manager completes a monthly walk of the property and submits a variance report to the owner by the 48th business day. Average rent is $27 per square foot with parking at a ratio of 48 spaces per 1,000 square feet. Service requests are tracked through a work-order system with an average completion time of 9 hours.

## Investor Distributions

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Average rent is $27 per square foot with parking at a ratio of 29 spaces per 1,000 square feet.

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## Capital Project Schedule

| Project | Category | Start | Completion | Budget | Spent to Date | Status |
|---|---|---|---|---|---|---|
| Unit interior upgrades | Energy | 09/08/25 | Q1 2026 | $126,000 | $33,749 | Complete |
| Amenity renovation | Life Safety | 06/12/24 | Q2 2026 | $495,000 | $168,429 | Approved |
| Parking lot resurfacing | Energy | 05/16/26 | Q2 2026 | $737,000 | $76,351 | Approved |
| Exterior paint | Building | 08/13/24 | Q2 2026 | $548,000 | $199,899 | Bidding |
| Security camera upgrade | Energy | 01/07/25 | Q3 2025 | $513,000 | $11,246 | Deferred |
| Amenity renovation | Building | 10/13/25 | Q4 2025 | $613,000 | $593,804 | Bidding |
| Security camera upgrade | Interior | 09/05/25 | Q2 2025 | $410,000 | $284,887 | Approved |
| Water heater replacement | Life Safety | 12/30/25 | Q3 2025 | $215,000 | $991 | Complete |
| Sewer line repair | Building | 07/26/24 | Q2 2026 | $417,000 | $76,395 | In progress |
| Landscape / irrigation | Interior | 11/17/25 | Q4 2026 | $747,000 | $233,529 | Approved |
| Roof replacement - Bldg C | Interior | 01/12/26 | Q2 2026 | $412,000 | $394,424 | In progress |
| Elevator modernization | Energy | 07/25/26 | Q2 2027 | $227,000 | $201,469 | Deferred |
| Amenity renovation | Energy | 04/22/23 | Q1 2026 | $419,000 | $80,027 | Approved |
| Amenity renovation | Building | 11/10/23 | Q1 2025 | $777,000 | $750,465 | Deferred |
| Unit interior upgrades | Energy | 02/09/25 | Q3 2026 | $526,000 | $117,711 | In progress |
| Signage / monument | Interior | 02/05/25 | Q3 2026 | $802,000 | $411,941 | Deferred |
| Storefront glazing | Site | 01/15/23 | Q1 2025 | $124,000 | $63,579 | Bidding |
| LED lighting retrofit | Interior | 06/13/23 | Q1 2025 | $715,000 | $668,922 | Approved |
| Fire alarm panel upgrade | Energy | 12/24/25 | Q4 2026 | $161,000 | $141,759 | Approved |
| Sewer line repair | Energy | 01/28/25 | Q3 2026 | $331,000 | $160,053 | Approved |
| Fence replacement | Energy | 01/18/26 | Q2 2026 | $676,000 | $618,273 | Deferred |
| Storefront glazing | Site | 02/24/24 | Q4 2027 | $817,000 | $72,004 | Bidding |
| Security camera upgrade | Life Safety | 06/02/23 | Q4 2027 | $273,000 | $180,659 | Approved |
| Lobby renovation | Energy | 10/11/24 | Q1 2026 | $897,000 | $368,280 | Bidding |
| Security camera upgrade | Site | 10/27/25 | Q2 2027 | $655,000 | $593,805 | Deferred |
| Parking lot resurfacing | Interior | 11/19/24 | Q3 2026 | $135,000 | $7,557 | Deferred |
| Water heater replacement | Interior | 01/28/25 | Q1 2026 | $408,000 | $210,629 | Bidding |
| Exterior paint | Life Safety | 10/24/24 | Q2 2027 | $309,000 | $247,230 | Bidding |
| Exterior paint | Energy | 06/05/23 | Q3 2027 | $719,000 | $363,104 | Bidding |
| Unit interior upgrades | Building | 02/25/26 | Q4 2027 | $467,000 | $733 | Deferred |
| Unit interior upgrades | Interior | 07/14/26 | Q3 2026 | $298,000 | $180,917 | In progress |
| Security camera upgrade | Site | 08/28/23 | Q4 2027 | $645,000 | $561,992 | In progress |
| Lobby renovation | Energy | 09/25/25 | Q1 2027 | $619,000 | $380,722 | In progress |
| Lobby renovation | Life Safety | 02/25/23 | Q2 2026 | $314,000 | $121,056 | In progress |
| Unit interior upgrades | Interior | 03/15/23 | Q3 2026 | $179,000 | $50,008 | In progress |
| Landscape / irrigation | Life Safety | 10/30/24 | Q1 2025 | $846,000 | $154,293 | Bidding |
| Lobby renovation | Life Safety | 03/08/24 | Q1 2025 | $95,000 | $96,397 | Complete |
| Lobby renovation | Building | 12/09/23 | Q1 2027 | $329,000 | $75,247 | Approved |
| Roof replacement - Bldg D | Life Safety | 07/19/26 | Q2 2026 | $486,000 | $320,792 | Bidding |
| Fence replacement | Energy | 09/17/23 | Q2 2026 | $853,000 | $733,455 | Approved |
| LED lighting retrofit | Life Safety | 02/16/23 | Q2 2026 | $574,000 | $231,281 | In progress |

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## Income and Expense Review

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Debt service coverage ratio was 6.55x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $215,000 or approximately 33.52 per square foot, with real estate taxes representing the largest line item. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period. Management fees are calculated at 5.2% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Operating expenses totaled $24,000 or approximately 22.95 per square foot, with real estate taxes representing the largest line item. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

## Demographics and Employment

Rent growth in the submarket has averaged 3.7% annually over the past 11 years. Market vacancy for comparable Retail product stands at 9.9%, down from 6.2% two years ago. Average rent is $27 per square foot with parking at a ratio of 27 spaces per 1,000 square feet. Median household income within a 3-mile radius of the property is approximately $42,000 and has grown 2.8% annually.

Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Retail product stands at 7.0%, down from 3.4% two years ago. Median household income within a 1-mile radius of the property is approximately $462,000 and has grown 10.0% annually. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

## Financial Analysis

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $27 per square foot with parking at a ratio of 31 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Management fees are calculated at 4.4% of collected revenue and are included in operating expenses. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Management fees are calculated at 3.1% of collected revenue and are included in operating expenses. Operating expenses totaled $420,000 or approximately 46.10 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 6.13x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.22% reflects the in-place income and the stabilized occupancy assumption.

## Market Overview

Ironwood Marketplace is located in Boston, MA, a market that has recorded 8.3% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors. Rent growth in the submarket has averaged 6.2% annually over the past 8 years. Market vacancy for comparable Retail product stands at 13.8%, down from 3.0% two years ago.

Ironwood Marketplace is located in Boston, MA, a market that has recorded 13.8% population growth over the last five years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Rent growth in the submarket has averaged 6.2% annually over the past 3 years. Average rent is $27 per square foot with parking at a ratio of 37 spaces per 1,000 square feet. Market vacancy for comparable Retail product stands at 4.5%, down from 3.5% two years ago.

## Financial Analysis

The going-in capitalization rate of 6.80% reflects the in-place income and the stabilized occupancy assumption. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $27 per square foot with parking at a ratio of 24 spaces per 1,000 square feet. Management fees are calculated at 7.2% of collected revenue and are included in operating expenses. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

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## Annual Operating Budget by Account

| Account | Prior Yr Actual | Prior Yr Budget | Current Budget | Variance $ | Variance % | Per Unit/SF |
|---|---|---|---|---|---|---|
| 5000 Gross Potential Rent | $290,102 | $294,527 | $302,498 | $12,396 | 4.3% | $25,208.14 |
| 5010 Loss to Lease | $70,554 | $72,897 | $73,600 | $3,047 | 4.3% | $6,133.36 |
| 5020 Vacancy Loss | $145,542 | $148,837 | $159,152 | $13,610 | 9.4% | $13,262.69 |
| 5030 Concessions | $226,233 | $225,202 | $225,411 | -$821 | -0.4% | $18,784.29 |
| 5040 Bad Debt | $22,629 | $24,251 | $25,336 | $2,707 | 12.0% | $2,111.37 |
| 5050 Late Fees | $130,514 | $133,023 | $140,200 | $9,686 | 7.4% | $11,683.32 |
| 5060 Utility Reimbursements | $104,791 | $109,058 | $113,254 | $8,463 | 8.1% | $9,437.85 |
| 5070 Parking Income | $113,819 | $111,055 | $116,803 | $2,984 | 2.6% | $9,733.60 |
| 5080 Application Fees | $107,925 | $101,377 | $106,884 | -$1,041 | -1.0% | $8,907.02 |
| 5090 Pet Rent | $146,533 | $141,970 | $147,621 | $1,088 | 0.7% | $12,301.78 |
| 5100 Laundry Income | $123,472 | $132,243 | $140,242 | $16,770 | 13.6% | $11,686.85 |
| 5110 Cable/Internet Revenue | $75,854 | $78,749 | $80,585 | $4,731 | 6.2% | $6,715.40 |
| 5120 CAM Reimbursements | $68,588 | $64,679 | $69,068 | $481 | 0.7% | $5,755.70 |
| 5130 Tax Reimbursements | $147,004 | $140,979 | $150,630 | $3,626 | 2.5% | $12,552.52 |
| 5140 Insurance Reimbursements | $237,807 | $229,642 | $238,994 | $1,187 | 0.5% | $19,916.15 |
| 5150 Percentage Rent | $32,997 | $35,539 | $36,888 | $3,890 | 11.8% | $3,073.96 |
| 5160 Misc. Income | $54,853 | $50,730 | $54,070 | -$783 | -1.4% | $4,505.80 |
| 5170 Payroll - Management | $23,489 | $22,068 | $23,101 | -$387 | -1.6% | $1,925.09 |
| 5180 Payroll - Leasing | $140,397 | $130,428 | $135,417 | -$4,980 | -3.5% | $11,284.75 |
| 5190 Payroll - Maintenance | $130,714 | $130,973 | $135,476 | $4,762 | 3.6% | $11,289.69 |
| 5200 Payroll Taxes & Benefits | $395,387 | $413,268 | $430,319 | $34,932 | 8.8% | $35,859.88 |
| 5210 Repairs - Plumbing | $251,815 | $268,990 | $271,668 | $19,852 | 7.9% | $22,638.97 |
| 5220 Repairs - HVAC | $309,586 | $315,715 | $319,872 | $10,285 | 3.3% | $26,655.99 |
| 5230 Repairs - Electrical | $135,687 | $131,486 | $135,101 | -$585 | -0.4% | $11,258.43 |
| 5240 Repairs - Appliances | $380,394 | $406,953 | $428,028 | $47,634 | 12.5% | $35,668.98 |
| 5250 Painting & Decorating | $127,625 | $118,419 | $118,601 | -$9,024 | -7.1% | $9,883.43 |
| 5260 Flooring | $213,106 | $200,964 | $211,610 | -$1,497 | -0.7% | $17,634.13 |
| 5270 Make-Ready / Turnover | $25,679 | $26,174 | $26,771 | $1,092 | 4.3% | $2,230.93 |
| 5280 Landscaping Contract | $399,232 | $389,150 | $411,088 | $11,857 | 3.0% | $34,257.37 |
| 5290 Snow Removal | $402,827 | $389,462 | $404,076 | $1,249 | 0.3% | $33,673.00 |
| 5300 Janitorial | $278,794 | $268,214 | $281,758 | $2,965 | 1.1% | $23,479.87 |
| 5310 Pest Control | $373,124 | $349,592 | $357,656 | -$15,468 | -4.1% | $29,804.66 |
| 5320 Trash Removal | $337,063 | $329,326 | $343,749 | $6,686 | 2.0% | $28,645.78 |
| 5330 Elevator Contract | $148,948 | $139,335 | $143,347 | -$5,601 | -3.8% | $11,945.59 |
| 5340 Fire & Life Safety | $28,583 | $27,674 | $29,371 | $788 | 2.8% | $2,447.55 |
| 5350 Security | $136,704 | $132,646 | $135,656 | -$1,048 | -0.8% | $11,304.64 |
| 5360 Electricity - Common | $216,402 | $225,140 | $231,431 | $15,029 | 6.9% | $19,285.90 |
| 5370 Gas - Common | $86,226 | $86,943 | $89,159 | $2,933 | 3.4% | $7,429.93 |
| 5380 Water & Sewer | $42,170 | $42,266 | $42,698 | $528 | 1.3% | $3,558.20 |
| 5390 Telephone/Internet | $293,350 | $310,092 | $324,507 | $31,157 | 10.6% | $27,042.26 |

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## Investment Overview

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $27 per square foot with parking at a ratio of 32 spaces per 1,000 square feet. Distributions to investors for the quarter were paid at an annualized rate of 3.8% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

## Property Operations

The manager completes a monthly walk of the property and submits a variance report to the owner by the 34th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 5 additional team members. Service requests are tracked through a work-order system with an average completion time of 29 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 13th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 91.4% of billed charges, with bad debt of 4.5% of gross potential income. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

## Risk Considerations

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 2.8% with an equity multiple of 1.37x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 8.0% on contributed capital. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

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## Property Operations

The manager completes a monthly walk of the property and submits a variance report to the owner by the 22th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average rent is $27 per square foot with parking at a ratio of 5 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 32 additional team members.

Service requests are tracked through a work-order system with an average completion time of 34 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 16th business day. Average rent is $27 per square foot with parking at a ratio of 21 spaces per 1,000 square feet. Collections for the period were 89.9% of billed charges, with bad debt of 7.2% of gross potential income. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

## Risk Considerations

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 7.1% with an equity multiple of 1.30x over the hold period.

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## Capital Project Schedule

| Project | Category | Start | Completion | Budget | Spent to Date | Status |
|---|---|---|---|---|---|---|
| Door hardware | Site | 10/30/23 | Q3 2026 | $557,000 | $395,015 | In progress |
| Elevator modernization | Site | 05/05/26 | Q2 2026 | $229,000 | $203,857 | Bidding |
| Lobby renovation | Building | 09/23/25 | Q2 2025 | $52,000 | $36,712 | In progress |
| Parking lot resurfacing | Site | 11/20/23 | Q4 2027 | $107,000 | $2,604 | In progress |
| Amenity renovation | Building | 11/29/23 | Q4 2026 | $193,000 | $26,856 | Bidding |
| Water heater replacement | Interior | 10/04/23 | Q1 2027 | $435,000 | $119,809 | Deferred |
| Sewer line repair | Energy | 01/05/23 | Q3 2025 | $525,000 | $422,134 | Approved |
| Security camera upgrade | Energy | 02/23/23 | Q3 2026 | $81,000 | $9,177 | In progress |
| ADA compliance | Interior | 10/27/26 | Q1 2027 | $264,000 | $251,270 | Complete |
| Amenity renovation | Building | 05/04/26 | Q4 2025 | $491,000 | $317,707 | Approved |
| Pool resurfacing | Building | 04/29/26 | Q3 2027 | $694,000 | $306,072 | Approved |
| Water heater replacement | Site | 04/28/26 | Q2 2026 | $49,000 | $42,435 | Bidding |
| Storefront glazing | Energy | 12/18/26 | Q1 2025 | $830,000 | $761,511 | In progress |
| Security camera upgrade | Energy | 09/05/25 | Q4 2025 | $84,000 | $21,867 | Bidding |
| Parking lot resurfacing | Interior | 07/13/26 | Q3 2027 | $78,000 | $48,472 | Approved |
| Sewer line repair | Building | 05/30/25 | Q2 2027 | $875,000 | $33,304 | Deferred |
| LED lighting retrofit | Site | 06/04/24 | Q2 2025 | $252,000 | $142,261 | Approved |
| Pool resurfacing | Interior | 06/30/24 | Q3 2026 | $261,000 | $24,268 | In progress |
| Roof replacement - Bldg A | Interior | 06/19/24 | Q1 2026 | $461,000 | $284,498 | Bidding |
| ADA compliance | Building | 12/10/23 | Q1 2027 | $250,000 | $106,157 | In progress |
| Parking lot resurfacing | Energy | 01/30/25 | Q2 2026 | $708,000 | $260,624 | Complete |
| Amenity renovation | Site | 05/05/23 | Q3 2025 | $324,000 | $247,323 | Approved |
| HVAC replacement | Site | 01/07/25 | Q1 2025 | $816,000 | $327,320 | Complete |
| LED lighting retrofit | Interior | 05/28/23 | Q4 2027 | $412,000 | $269,174 | Complete |
| Water heater replacement | Energy | 08/16/23 | Q1 2027 | $304,000 | $227,147 | Deferred |
| Water heater replacement | Building | 03/13/24 | Q3 2025 | $642,000 | $414,036 | Complete |
| Exterior paint | Interior | 10/03/23 | Q1 2026 | $115,000 | $61,058 | Bidding |
| Water heater replacement | Life Safety | 09/02/25 | Q4 2027 | $246,000 | $165,377 | In progress |
| Unit interior upgrades | Energy | 05/18/23 | Q2 2026 | $216,000 | $169,861 | Complete |
| Elevator modernization | Site | 04/28/24 | Q3 2025 | $402,000 | $232,007 | Complete |
| Fire alarm panel upgrade | Life Safety | 02/21/23 | Q4 2027 | $359,000 | $148,938 | In progress |
| HVAC replacement | Energy | 10/14/23 | Q3 2027 | $331,000 | $80,727 | Bidding |
| Unit interior upgrades | Site | 07/03/23 | Q1 2025 | $563,000 | $423,204 | Bidding |
| Door hardware | Site | 11/01/25 | Q2 2025 | $583,000 | $541,813 | Bidding |
| Exterior paint | Life Safety | 03/02/25 | Q3 2027 | $215,000 | $141,239 | In progress |
| ADA compliance | Life Safety | 10/20/26 | Q2 2026 | $800,000 | $772,172 | Bidding |
| Roof replacement - Bldg C | Life Safety | 07/07/25 | Q1 2025 | $774,000 | $413,982 | Approved |
| HVAC replacement | Site | 07/23/25 | Q1 2026 | $329,000 | $166,075 | In progress |
| Door hardware | Interior | 01/10/26 | Q3 2025 | $210,000 | $42,510 | Deferred |
| Amenity renovation | Building | 05/26/23 | Q2 2025 | $892,000 | $315,984 | Bidding |
| Roof replacement - Bldg B | Energy | 12/13/24 | Q2 2027 | $309,000 | $83,938 | Approved |
| Door hardware | Energy | 02/04/23 | Q2 2026 | $69,000 | $5,684 | Approved |

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## Valuation Discussion

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $27 per square foot with parking at a ratio of 30 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $27 per square foot with parking at a ratio of 45 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The going-in capitalization rate of 5.79% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $64,000, representing a 13.3% increase over the prior year.

## Demographics and Employment

Average rent is $27 per square foot with parking at a ratio of 39 spaces per 1,000 square feet. Rent growth in the submarket has averaged 6.3% annually over the past 6 years. Ironwood Marketplace is located in Boston, MA, a market that has recorded 11.3% population growth over the last five years. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Investor demand for Retail assets in Boston remains strong with recent trades at capitalization rates between 6.10% and 6.10%. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Retail product stands at 2.6%, down from 3.7% two years ago. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Rent growth in the submarket has averaged 5.0% annually over the past 4 years.

## Valuation Discussion

Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.22% reflects the in-place income and the stabilized occupancy assumption. Average rent is $27 per square foot with parking at a ratio of 7 spaces per 1,000 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 7.1% over the hold period. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Operating expenses totaled $370,000 or approximately 12.63 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Effective gross income for the trailing period was $432,000, representing a 9.9% increase over the prior year. Debt service coverage ratio was 7.53x on a trailing basis against a covenant minimum of 1.20x.

## Demographics and Employment

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Market vacancy for comparable Retail product stands at 4.8%, down from 4.5% two years ago. Investor demand for Retail assets in Boston remains strong with recent trades at capitalization rates between 7.95% and 7.95%. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Ironwood Marketplace is located in Boston, MA, a market that has recorded 11.4% population growth over the last five years. The Boston Retail market has experienced absorption of 700 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Median household income within a 1-mile radius of the property is approximately $231,000 and has grown 12.2% annually. Employment growth is led by healthcare, logistics, education and professional services sectors. Investor demand for Retail assets in Boston remains strong with recent trades at capitalization rates between 7.96% and 7.96%.

## Income and Expense Review

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## Annual Operating Budget by Account

| Account | Prior Yr Actual | Prior Yr Budget | Current Budget | Variance $ | Variance % | Per Unit/SF |
|---|---|---|---|---|---|---|
| 5400 Advertising | $55,015 | $52,621 | $55,800 | $785 | 1.4% | $4,649.98 |
| 5410 Resident Events | $269,264 | $260,456 | $265,387 | -$3,878 | -1.4% | $22,115.55 |
| 5420 Office Supplies | $345,391 | $320,143 | $323,956 | -$21,435 | -6.2% | $26,996.35 |
| 5430 Legal & Professional | $361,859 | $340,974 | $361,950 | $91 | 0.0% | $30,162.47 |
| 5440 Accounting & Audit | $53,576 | $54,724 | $57,621 | $4,045 | 7.6% | $4,801.77 |
| 5450 Licenses & Permits | $399,620 | $380,047 | $388,915 | -$10,705 | -2.7% | $32,409.60 |
| 5460 Management Fee | $382,719 | $353,907 | $374,240 | -$8,478 | -2.2% | $31,186.69 |
| 5470 Property Insurance | $275,857 | $284,102 | $298,813 | $22,955 | 8.3% | $24,901.04 |
| 5480 Real Estate Taxes | $358,302 | $331,774 | $351,837 | -$6,464 | -1.8% | $29,319.78 |
| 5490 Asset Management Fee | $297,147 | $309,755 | $327,375 | $30,229 | 10.2% | $27,281.28 |
| 5500 Replacement Reserves | $100,849 | $102,893 | $107,628 | $6,779 | 6.7% | $8,968.96 |
| 5510 Roof Repairs | $112,783 | $111,758 | $118,945 | $6,163 | 5.5% | $9,912.12 |
| 5520 Parking Lot Repairs | $98,573 | $92,916 | $95,629 | -$2,944 | -3.0% | $7,969.12 |
| 5530 Signage | $256,323 | $270,455 | $273,227 | $16,903 | 6.6% | $22,768.89 |
| 5540 Tenant Improvements | $161,068 | $157,794 | $166,079 | $5,011 | 3.1% | $13,839.93 |
| 5550 Leasing Commissions | $330,261 | $308,584 | $326,124 | -$4,138 | -1.3% | $27,176.98 |
| 5000 Gross Potential Rent | $86,424 | $82,547 | $84,059 | -$2,365 | -2.7% | $7,004.95 |
| 5010 Loss to Lease | $76,964 | $75,318 | $78,565 | $1,602 | 2.1% | $6,547.12 |
| 5020 Vacancy Loss | $185,612 | $183,891 | $194,668 | $9,056 | 4.9% | $16,222.30 |
| 5030 Concessions | $322,494 | $325,234 | $346,233 | $23,738 | 7.4% | $28,852.72 |
| 5040 Bad Debt | $393,368 | $362,139 | $367,284 | -$26,084 | -6.6% | $30,607.01 |
| 5050 Late Fees | $193,753 | $196,909 | $200,730 | $6,976 | 3.6% | $16,727.46 |
| 5060 Utility Reimbursements | $174,405 | $178,925 | $181,380 | $6,975 | 4.0% | $15,114.97 |
| 5070 Parking Income | $154,962 | $163,909 | $171,919 | $16,958 | 10.9% | $14,326.62 |
| 5080 Application Fees | $358,754 | $362,653 | $372,422 | $13,667 | 3.8% | $31,035.13 |
| 5090 Pet Rent | $267,682 | $255,851 | $269,976 | $2,293 | 0.9% | $22,498.00 |
| 5100 Laundry Income | $268,883 | $262,648 | $276,868 | $7,985 | 3.0% | $23,072.29 |
| 5110 Cable/Internet Revenue | $307,943 | $297,192 | $309,689 | $1,745 | 0.6% | $25,807.38 |
| 5120 CAM Reimbursements | $31,330 | $29,379 | $30,606 | -$724 | -2.3% | $2,550.52 |
| 5130 Tax Reimbursements | $310,916 | $287,238 | $304,360 | -$6,555 | -2.1% | $25,363.35 |
| 5140 Insurance Reimbursements | $234,768 | $238,828 | $243,289 | $8,521 | 3.6% | $20,274.06 |
| 5150 Percentage Rent | $123,113 | $127,491 | $136,390 | $13,277 | 10.8% | $11,365.84 |
| 5160 Misc. Income | $27,779 | $27,491 | $28,184 | $405 | 1.5% | $2,348.67 |
| 5170 Payroll - Management | $389,414 | $394,604 | $405,824 | $16,410 | 4.2% | $33,818.69 |
| 5180 Payroll - Leasing | $60,295 | $64,339 | $64,502 | $4,207 | 7.0% | $5,375.18 |
| 5190 Payroll - Maintenance | $251,687 | $235,564 | $245,334 | -$6,353 | -2.5% | $20,444.49 |
| 5200 Payroll Taxes & Benefits | $169,905 | $162,739 | $166,879 | -$3,026 | -1.8% | $13,906.58 |
| 5210 Repairs - Plumbing | $325,986 | $305,508 | $316,292 | -$9,694 | -3.0% | $26,357.69 |
| 5220 Repairs - HVAC | $259,991 | $240,782 | $248,519 | -$11,473 | -4.4% | $20,709.89 |
| 5230 Repairs - Electrical | $394,789 | $414,335 | $428,678 | $33,888 | 8.6% | $35,723.13 |

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## Investor Distributions

Distributions to investors for the quarter were paid at an annualized rate of 3.8% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Average rent is $27 per square foot with parking at a ratio of 35 spaces per 1,000 square feet. Projected levered IRR is 9.8% with an equity multiple of 1.40x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Average rent is $27 per square foot with parking at a ratio of 28 spaces per 1,000 square feet.

## Property Operations

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $27 per square foot with parking at a ratio of 46 spaces per 1,000 square feet. The manager completes a monthly walk of the property and submits a variance report to the owner by the 31th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average rent is $27 per square foot with parking at a ratio of 11 spaces per 1,000 square feet. The manager completes a monthly walk of the property and submits a variance report to the owner by the 19th business day.

## Risk Considerations

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Average rent is $27 per square foot with parking at a ratio of 34 spaces per 1,000 square feet. Projected levered IRR is 12.7% with an equity multiple of 1.3x over the hold period. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Distributions to investors for the quarter were paid at an annualized rate of 5.7% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

## Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 42 hours. Average rent is $27 per square foot with parking at a ratio of 3 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 15 additional team members.

Average rent is $27 per square foot with parking at a ratio of 6 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The manager completes a monthly walk of the property and submits a variance report to the owner by the 46th business day. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Service requests are tracked through a work-order system with an average completion time of 17 hours.

## Investor Distributions

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Average rent is $27 per square foot with parking at a ratio of 25 spaces per 1,000 square feet.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $27 per square foot with parking at a ratio of 29 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

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## Capital Project Schedule

| Project | Category | Start | Completion | Budget | Spent to Date | Status |
|---|---|---|---|---|---|---|
| Door hardware | Site | 10/09/23 | Q3 2026 | $31,000 | $1,622 | Complete |
| Fence replacement | Life Safety | 03/24/24 | Q1 2025 | $137,000 | $95,560 | Deferred |
| Amenity renovation | Life Safety | 05/19/24 | Q3 2026 | $856,000 | $431,168 | Deferred |
| Amenity renovation | Building | 10/24/23 | Q2 2026 | $227,000 | $205,401 | Complete |
| Door hardware | Building | 04/27/23 | Q2 2025 | $652,000 | $388,810 | Bidding |
| Sewer line repair | Building | 07/14/24 | Q3 2025 | $174,000 | $67,681 | Complete |
| Fire alarm panel upgrade | Interior | 01/07/25 | Q2 2026 | $489,000 | $463,585 | In progress |
| Pool resurfacing | Energy | 08/02/25 | Q3 2027 | $759,000 | $143,688 | Deferred |
| Lobby renovation | Building | 07/31/23 | Q1 2025 | $113,000 | $79,523 | Deferred |
| Storefront glazing | Building | 01/21/23 | Q1 2026 | $8,000 | $4,221 | In progress |
| Sewer line repair | Interior | 06/14/26 | Q3 2025 | $128,000 | $85,455 | Bidding |
| Exterior paint | Interior | 08/25/25 | Q1 2027 | $607,000 | $452,820 | Complete |
| Pool resurfacing | Building | 01/03/25 | Q4 2026 | $481,000 | $29,688 | Deferred |
| HVAC replacement | Energy | 08/21/25 | Q2 2025 | $767,000 | $323,794 | Complete |
| Parking lot resurfacing | Interior | 06/21/24 | Q2 2026 | $37,000 | $28,643 | Complete |
| Unit interior upgrades | Interior | 10/27/26 | Q1 2027 | $30,000 | $26,406 | Deferred |
| Water heater replacement | Building | 12/18/24 | Q3 2025 | $780,000 | $262,460 | In progress |
| Sewer line repair | Interior | 04/21/23 | Q3 2025 | $501,000 | $260,581 | Approved |
| Roof replacement - Bldg C | Energy | 02/07/26 | Q1 2027 | $450,000 | $44,226 | Bidding |
| Sewer line repair | Building | 02/02/24 | Q1 2025 | $656,000 | $333,341 | In progress |
| Elevator modernization | Life Safety | 09/17/26 | Q4 2025 | $733,000 | $199,798 | Approved |
| Landscape / irrigation | Building | 05/13/24 | Q2 2027 | $697,000 | $642,758 | Complete |
| Door hardware | Energy | 04/02/26 | Q3 2026 | $18,000 | $17,650 | Deferred |
| Water heater replacement | Interior | 06/01/24 | Q4 2026 | $418,000 | $370,544 | Bidding |
| HVAC replacement | Energy | 02/07/25 | Q4 2027 | $422,000 | $103,847 | Approved |
| Storefront glazing | Energy | 03/18/24 | Q1 2027 | $584,000 | $308,426 | Approved |
| Amenity renovation | Interior | 03/13/23 | Q4 2027 | $662,000 | $574,683 | In progress |
| Signage / monument | Energy | 08/18/25 | Q3 2027 | $484,000 | $96,461 | Deferred |
| Fire alarm panel upgrade | Life Safety | 06/29/24 | Q2 2025 | $52,000 | $4,761 | Complete |
| Storefront glazing | Life Safety | 03/13/24 | Q2 2025 | $712,000 | $473,935 | Approved |
| Unit interior upgrades | Life Safety | 09/23/26 | Q1 2027 | $16,000 | $8,317 | Approved |
| Unit interior upgrades | Site | 11/20/23 | Q4 2025 | $433,000 | $156,868 | Deferred |
| Amenity renovation | Interior | 02/24/26 | Q4 2026 | $95,000 | $34,237 | Deferred |
| Elevator modernization | Interior | 06/29/25 | Q2 2026 | $306,000 | $158,522 | Approved |
| Amenity renovation | Life Safety | 05/18/26 | Q4 2025 | $897,000 | $631,967 | Deferred |
| Signage / monument | Interior | 01/12/25 | Q1 2026 | $438,000 | $316,601 | Deferred |
| Storefront glazing | Site | 02/15/25 | Q3 2027 | $590,000 | $76,963 | In progress |
| Fence replacement | Energy | 05/19/25 | Q1 2026 | $712,000 | $575,097 | Deferred |
| Fire alarm panel upgrade | Site | 08/23/26 | Q1 2026 | $590,000 | $299,942 | Bidding |
| Sewer line repair | Life Safety | 02/05/25 | Q3 2026 | $78,000 | $14,671 | Approved |

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## Valuation Discussion

Average rent is $27 per square foot with parking at a ratio of 2 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The going-in capitalization rate of 6.45% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 4.0% over the hold period. Operating expenses totaled $186,000 or approximately 10.16 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Average rent is $27 per square foot with parking at a ratio of 23 spaces per 1,000 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.53% reflects the in-place income and the stabilized occupancy assumption. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

## Supply and Demand

Market vacancy for comparable Retail product stands at 2.1%, down from 7.5% two years ago. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Ironwood Marketplace is located in Boston, MA, a market that has recorded 6.0% population growth over the last five years. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Employment growth is led by healthcare, logistics, education and professional services sectors.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Employment growth is led by healthcare, logistics, education and professional services sectors. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The Boston Retail market has experienced absorption of 1100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Average rent is $27 per square foot with parking at a ratio of 33 spaces per 1,000 square feet.

## Valuation Discussion

Debt service coverage ratio was 7.24x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 5.6% over the hold period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The going-in capitalization rate of 7.48% reflects the in-place income and the stabilized occupancy assumption. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Effective gross income for the trailing period was $165,000, representing a 6.4% increase over the prior year. Average rent is $27 per square foot with parking at a ratio of 10 spaces per 1,000 square feet. Management fees are calculated at 4.6% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period.

## Demographics and Employment

Average rent is $27 per square foot with parking at a ratio of 48 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The Boston Retail market has experienced absorption of 4700 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Employment growth is led by healthcare, logistics, education and professional services sectors. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Retail product stands at 4.5%, down from 6.9% two years ago. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The Boston Retail market has experienced absorption of 3600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Investor demand for Retail assets in Boston remains strong with recent trades at capitalization rates between 5.80% and 5.80%.

## Valuation Discussion

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## Annual Operating Budget by Account

| Account | Prior Yr Actual | Prior Yr Budget | Current Budget | Variance $ | Variance % | Per Unit/SF |
|---|---|---|---|---|---|---|
| 5240 Repairs - Appliances | $372,910 | $361,075 | $382,522 | $9,612 | 2.6% | $31,876.82 |
| 5250 Painting & Decorating | $169,099 | $164,198 | $169,263 | $164 | 0.1% | $14,105.25 |
| 5260 Flooring | $106,353 | $113,593 | $120,177 | $13,824 | 13.0% | $10,014.77 |
| 5270 Make-Ready / Turnover | $340,630 | $336,971 | $353,570 | $12,940 | 3.8% | $29,464.21 |
| 5280 Landscaping Contract | $147,001 | $155,473 | $158,620 | $11,619 | 7.9% | $13,218.37 |
| 5290 Snow Removal | $188,903 | $195,985 | $206,704 | $17,801 | 9.4% | $17,225.34 |
| 5300 Janitorial | $370,518 | $378,974 | $381,716 | $11,197 | 3.0% | $31,809.64 |
| 5310 Pest Control | $305,584 | $294,919 | $308,756 | $3,173 | 1.0% | $25,729.70 |
| 5320 Trash Removal | $263,061 | $255,203 | $260,522 | -$2,539 | -1.0% | $21,710.17 |
| 5330 Elevator Contract | $288,344 | $285,214 | $292,043 | $3,698 | 1.3% | $24,336.89 |
| 5340 Fire & Life Safety | $381,974 | $405,592 | $409,237 | $27,264 | 7.1% | $34,103.10 |
| 5350 Security | $315,829 | $321,450 | $341,489 | $25,660 | 8.1% | $28,457.40 |
| 5360 Electricity - Common | $20,154 | $18,923 | $19,868 | -$286 | -1.4% | $1,655.63 |
| 5370 Gas - Common | $48,055 | $51,450 | $52,867 | $4,812 | 10.0% | $4,405.62 |
| 5380 Water & Sewer | $81,947 | $76,431 | $81,611 | -$336 | -0.4% | $6,800.93 |
| 5390 Telephone/Internet | $393,435 | $411,133 | $418,061 | $24,626 | 6.3% | $34,838.45 |
| 5400 Advertising | $390,082 | $387,369 | $408,112 | $18,030 | 4.6% | $34,009.34 |
| 5410 Resident Events | $401,578 | $382,662 | $383,664 | -$17,914 | -4.5% | $31,971.99 |
| 5420 Office Supplies | $49,321 | $47,341 | $48,673 | -$648 | -1.3% | $4,056.07 |
| 5430 Legal & Professional | $27,699 | $26,298 | $26,768 | -$931 | -3.4% | $2,230.68 |
| 5440 Accounting & Audit | $144,003 | $139,436 | $140,906 | -$3,097 | -2.2% | $11,742.15 |
| 5450 Licenses & Permits | $127,025 | $122,345 | $124,152 | -$2,872 | -2.3% | $10,346.04 |
| 5460 Management Fee | $372,139 | $379,349 | $404,970 | $32,831 | 8.8% | $33,747.47 |
| 5470 Property Insurance | $289,406 | $308,534 | $309,414 | $20,008 | 6.9% | $25,784.53 |
| 5480 Real Estate Taxes | $288,602 | $288,899 | $295,541 | $6,939 | 2.4% | $24,628.39 |
| 5490 Asset Management Fee | $58,633 | $57,206 | $59,765 | $1,133 | 1.9% | $4,980.45 |
| 5500 Replacement Reserves | $105,236 | $101,393 | $103,579 | -$1,657 | -1.6% | $8,631.61 |
| 5510 Roof Repairs | $83,352 | $81,110 | $86,217 | $2,865 | 3.4% | $7,184.72 |
| 5520 Parking Lot Repairs | $102,521 | $101,381 | $101,920 | -$601 | -0.6% | $8,493.32 |
| 5530 Signage | $22,229 | $23,152 | $24,377 | $2,148 | 9.7% | $2,031.41 |
| 5540 Tenant Improvements | $31,531 | $30,342 | $31,415 | -$116 | -0.4% | $2,617.91 |
| 5550 Leasing Commissions | $37,701 | $36,936 | $39,059 | $1,357 | 3.6% | $3,254.89 |
| 5000 Gross Potential Rent | $95,562 | $97,316 | $101,959 | $6,397 | 6.7% | $8,496.56 |
| 5010 Loss to Lease | $50,684 | $52,496 | $55,204 | $4,520 | 8.9% | $4,600.33 |
| 5020 Vacancy Loss | $259,337 | $252,229 | $261,990 | $2,653 | 1.0% | $21,832.51 |
| 5030 Concessions | $226,847 | $241,747 | $252,803 | $25,956 | 11.4% | $21,066.92 |
| 5040 Bad Debt | $42,450 | $39,464 | $41,700 | -$749 | -1.8% | $3,475.03 |
| 5050 Late Fees | $264,029 | $268,391 | $286,606 | $22,577 | 8.6% | $23,883.81 |
| 5060 Utility Reimbursements | $175,490 | $174,635 | $182,272 | $6,782 | 3.9% | $15,189.31 |
| 5070 Parking Income | $406,724 | $375,668 | $382,867 | -$23,857 | -5.9% | $31,905.60 |

Report generated 04/02/2021. Figures are unaudited and subject to change.

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## Investor Distributions

Average rent is $27 per square foot with parking at a ratio of 16 spaces per 1,000 square feet. Projected levered IRR is 5.5% with an equity multiple of 1.39x over the hold period. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Average rent is $27 per square foot with parking at a ratio of 8 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

## Management Commentary

Average rent is $27 per square foot with parking at a ratio of 21 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Service requests are tracked through a work-order system with an average completion time of 2 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 25th business day.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 39th business day. Service requests are tracked through a work-order system with an average completion time of 28 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 45 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Collections for the period were 95.2% of billed charges, with bad debt of 6.3% of gross potential income.

## Business Plan Progress

The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Average rent is $27 per square foot with parking at a ratio of 19 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 5.2% on contributed capital. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $27 per square foot with parking at a ratio of 23 spaces per 1,000 square feet.

## Property Operations

Collections for the period were 90.5% of billed charges, with bad debt of 3.3% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 30th business day. Average rent is $27 per square foot with parking at a ratio of 24 spaces per 1,000 square feet. Service requests are tracked through a work-order system with an average completion time of 15 hours. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Average rent is $27 per square foot with parking at a ratio of 28 spaces per 1,000 square feet. Collections for the period were 95.3% of billed charges, with bad debt of 7.2% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 20 additional team members. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Service requests are tracked through a work-order system with an average completion time of 22 hours.

## Business Plan Progress

The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Average rent is $27 per square foot with parking at a ratio of 15 spaces per 1,000 square feet. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

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# Disclaimer and Confidentiality

All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. Time is of the essence with respect to each and every provision of this instrument. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. This document relates solely to Ironwood Marketplace and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Each party represents that it has full power and authority to enter into and perform its obligations hereunder. Time is of the essence with respect to each and every provision of this instrument. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of MA. This document relates solely to Ironwood Marketplace and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Time is of the essence with respect to each and every provision of this instrument. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This document relates solely to Ironwood Marketplace and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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